

XYZ Pvt. Ltd. – Student Exercise (Corrected & Consistent)

Instructions:

Prepare the following financial statements in this order: 1) Balance Sheet 2) Cash Flow Statement (Indirect Method) 3) Income Statement (Profit & Loss Account). Use the provided data and show calculations clearly.

Data Provided (consistent):

Equity & Liabilities	
Share Capital	PKR 500,000
Retained Earnings (Opening)	PKR 100,000
Bank Loan (Long-term)	PKR 200,000
Accounts Payable (current)	PKR 100,000
Assets at Year End	
Land & Building	PKR 300,000
Machinery & Equipment (net of depreciation)	PKR 200,000
Furniture & Fixtures	PKR 50,000
Accounts Receivable	PKR 180,000
Inventory	PKR 150,000
Cash Balance (Closing)	PKR 120,000
Income / Expense Information (for 2024)	
Sales Revenue	PKR 1,000,000
Cost of Goods Sold	PKR 600,000
Salaries & Wages	PKR 120,000
Rent	PKR 60,000
Utilities	PKR 20,000
Interest on Loan	PKR 20,000
Tax Rate	30%
Dividend Paid (during year)	PKR 26,000
Depreciation (non-cash)	PKR 20,000
Cash Flow Adjustments (changes during year)	
Increase in Accounts Receivable	PKR 30,000
Increase in Inventory	PKR 20,000
Increase in Accounts Payable	PKR 10,000
Purchase of New Machinery (cash)	PKR 50,000
Loan Taken During Year (cash)	PKR 100,000

Required Tasks (show workings):

1. Prepare the Balance Sheet as at 31 Dec 2024. 2. Prepare the Cash Flow Statement (Indirect) showing how you derived opening and closing cash. 3. Prepare the Income Statement for 2024. Ensure totals reconcile and show brief reconciliations: (a) retained earnings movement, (b) closing cash equals balance sheet cash.